Equity Research
Technology, Media, and Communications | Cybersecurity

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Unified Observability Platform With Expanding Opportunities for the AI Era; Assuming Coverage With Outperform Rating

Leading AI-era observability and security platform at scale. Datadog is a leading observability platform that addresses the important challenge facing modern software teams of rising complexity across cloud infrastructure, applications, data, AI models, and security workflows. The company's unified platform brings together metrics, traces, logs, user sessions, security signals, and other data through a single platform with more than 1,000 integrations for shared visibility into full technology stacks. We view Datadog's core differentiation as the ability to break down silos across development, operations, security, product, and business teams while enabling consolidation at scale.

AI adoption is becoming a direct growth driver. We view Datadog as a clear software beneficiary of AI adoption because AI increases the production complexity around more code, applications, agents, logs, and traces that Datadog was designed to manage. We believe this complexity is already increasing with AI-generated code (which makes up 75% of all new code at Google), and that Datadog is seeing this inflection with revenue growth accelerating to 32% year-over-year and non-AI customer revenue growth accelerating to a percentage in the mid-20s in its most recent quarter. We believe AI adoption should benefit Datadog across infrastructure monitoring and metrics as customers monitor larger and more diverse environments; application performance monitoring (APM) and tracing as AI applications and large language models (LLMs) move into production; logs and security as more agent activity needs to be inspected and governed; and service management as Bits AI moves the company closer to automated investigation and remediation. The company also has its own AI product cycle that should benefit: LLM Observability, GPU Monitoring, MCP Server, and AI agents that allow customers to monitor AI applications, optimize AI infrastructure, automate certain tasks, and secure agentic workflows.

Attractive risk/reward profile. We believe Datadog is a premium valuation stock, trading at about 13.4 times revenue as of the close on May 14, well above most direct observability peers (at about 3.0 times sales) and closer to premium cloud/security platform valuations (at about 10.5 times sales). We believe the premium is justified by its accelerating growth, broad-based usage trends, strong retention, multiproduct adoption, AI-driven workload complexity, and attractive financial model.

Primary risks for Datadog's stock include: 1) competition from observability vendors, hyperscalers, open-source software, and security players; 2) usage-based revenue volatility; 3) AI workload volatility; 4) execution risk in expanding beyond core observability; and 5) AI-related disruption.

Stock Rating:	**Outperform**

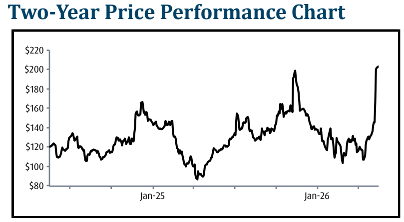
Symbol:	DDOG (NASDAQ)
Price:	$202.84 (52-Wk.: $98-$205)
Market Value (M):	$76,746
Dividend/Yield:	$0.00/0.00%
Fiscal Year End:	December

		2025A	2026E	2027E
Estimates				
EPS	Q1	$0.46	$0.60	$0.64
	Q2	$0.46	$0.58	$0.67
	Q3	$0.55	$0.60	$0.73
	Q4	$0.59	$0.63	$0.78
	FY	$2.06	$2.40	$2.82
Sales (M)	Q1	$761.6	$1,006.4	$1,211.7
	Q2	$826.8	$1,074.8	$1,290.8
	Q3	$885.7	$1,101.7	$1,330.9
	Q4	$953.2	$1,137.2	$1,353.2
	FY	$3,427.2	$4,320.1	$5,186.7

Trading Data (FactSet)	
Shares Outstanding (M):	353.8
Float (M):	320.8
Avg. Daily Volume (90-day):	5,970,160

Financial Data (FactSet)	
Book Value Per Share (MRQ):	$11.21
Return on Equity (TTM):	3.9%
Enterprise Value (M):	$72,049

Two-Year Price Performance Chart



Sources: FactSet, William Blair & Company estimates

Datadog is a leading observability and security platform for cloud applications. Its SaaS platform provides unified real-time visibility across infrastructure, applications, logs, user experiences, cloud security, and service management. The platform helps customers manage complexity, resolve issues faster, and secure technology stacks at scale.

Investment Summary

Datadog was founded to solve a problem that became more severe as software moved from static on-premises infrastructure to dynamic cloud-native environments. Historically, software development teams built applications, operations teams managed infrastructure, and security teams often sat in a separate workflow. That model was workable when environments changed slowly, but it broke down as companies began adopting cloud infrastructure, containers, microservices, serverless architectures, distributed applications, and much faster software release cycles. Datadog identified that modern software teams needed a shared real-time data platform rather than a collection of siloed monitoring tools.

Imagine a large online retailer on a major sales day that starts to experience issues with its checkout application slowing down, customers abandoning shopping carts, and sales conversion dropping, but the engineering team does not know why. One group is looking at cloud infrastructure dashboards, another is searching through logs data, another is watching user sessions, another is reviewing network data, and the security team is trying to determine whether the issue is a system failure or a security incident. The retailer may have all of the data somewhere, but it is scattered across several different systems, which leads to the first several hours of the incident simply trying to understand the problem instead of fixing it. During this time, the company could be losing millions of dollars in transactions, engineers get pulled away from working on products, and customers have a poor user experience.

With Datadog, this changes by putting the company's full technology stack in a real-time platform. This is where the retailer can more easily see that checkout latency is rising, correlate that to a specific application service, trace it to a database or an API dependency, understand which cloud resources are affected, identify which users are experiencing the issue, and alert the right engineering teams to fix the problem. This leads to faster time to detect and remediate issues, improved uptime, and avoiding potential revenue or reputation loss. We believe Datadog becomes even more necessary in a world of AI. We are currently seeing AI coding tools allow companies to ship more software faster (about 25% more software according to GitHub), which means there are more opportunities for things to go wrong. AI applications introduce new potential points of failure around model latency, capacity limits, tool calls, prompt changes, and more. Datadog's State of AI Engineering report found that around 5% of AI model requests failed in production, with nearly 60% of those failures caused by capacity limits, while at the same time agent framework adoption doubled year-over-year and the amount of data sent to AI models per request more than doubled for median-use teams and quadrupled for heavy users. We believe this reinforces our thesis that AI increases the amount of software being created and Datadog is needed to make that software observable, reliable, secure, and cost-efficient in production.

Datadog began with infrastructure monitoring and has since expanded into application performance monitoring (APM), log management, digital experience monitoring, network monitoring, cloud security, software delivery, service management, data observability, LLM observability, GPU monitoring, product analytics, experimentation, and AI agents. We believe this evolution reflects the reality that modern production environments are interconnected such that performance problems can originate in many different areas, like the application code, a database query, a container orchestration layer, a cloud network, a security configuration, or more. Datadog's value proposition, in our view, is that all of these signals are more useful when they are consolidated on one platform.

The company's platform strategy has been showing strong traction with about 33,200 total customers (up 9% year-over-year) and 4,550 customers spending $100,000 or more (up 21% year-over-year). Larger customers represent about 90% of Datadog's ARR, indicating that its revenue base is increasingly concentrated in enterprise-scale accounts where we believe platform breadth and consolidation is important for customers. Multiproduct adoption also continues to improve with 56% of customers now using four or more products, 35% with six or more, 20% with eight or more, and 11% with ten or more.

We believe Datadog is benefiting from secular tailwinds, where cloud migration and digital transformation remain long-duration drivers, and the more recent trend of increasing AI-driven software complexity. We believe that AI changes the observability problem in several ways, including an increased volume of code being written, increased number of applications and AI agents moving toward production, new nondeterministic LLM behavior, new GPU and model-training/inference monitoring needs, and increased importance of validating, securing, and governing software generated by AI. In our view, AI is compounding complexity across software release frequency, different technologies, and the number of people or agents involved.

These trends already appear to be starting to benefit Datadog, with revenue growth of 32% year-over-year (reaching $1.006 billion) in the company's first quarter 2026 results, accelerating from 29% growth in the prior quarter and 25% growth in the year-ago quarter. Management indicated that revenue growth accelerated for both AI and non-AI-native customer cohorts, which demonstrates that acceleration did not come solely from a few large AI-native customers. The company also reported record sequential ARR increase, record new logo annualized bookings, and new logo bookings that more than doubled year-over-year.

We view AI as both a tailwind and a product strategy for Datadog. There is Datadog for AI, which is observability and security applied across the AI stack, and there is AI for Datadog, where AI-powered capabilities are embedded into its platform. The company recently launched its MCP server, Bits AI Security Agent, GPU Monitoring, and Experiments solutions for general availability. Datadog also disclosed that more than 6,500 customers send data for at least one AI integration, which represents only about 20% of total customers but about 80% of ARR, which we view as a positive sign that AI activity is relatively broad-based across some of the company's most important customers.

We see Datadog as one of the better-positioned software companies for AI infrastructure because its business is tied to production and operational complexity. We believe that if AI increases the number of applications, changes to code, AI agents, GPU workloads, and attack surfaces, then Datadog should benefit from more telemetry, more use-cases, and more reasons for customers to consolidate on a unified platform.

In our view, Datadog is moving beyond monitoring and is on its way to becoming a broader AI-era operations platform where the company is well positioned. While Datadog trades at a premium valuation, we view this as justified based on its accelerating revenue growth, low churn and strong net retention, ability to consolidate customers, expanding market opportunity, and a long-term opportunity ahead in AI-related observability and automation.

How Much of the Growth Comes From AI?
Datadog does not provide a precise revenue split between AI and non-AI use-cases, and we think any exact split would be imperfect because AI is increasingly being embedded in traditional enterprise customers as well as AI-native companies. The company reported $3.43 billion of revenue in 2025 and guided 2026 revenue to increase by nearly $900 million to reach $4.32 billion at the midpoint for 26% growth. In our estimates, we assume roughly 70% to 75% of this incremental revenue comes from core non-AI customer expansion, cloud migration, new logo wins, and multiproduct adoption/platform consolidation. We assume roughly 25% to 30% comes from AI-native customers and AI-related workloads such as LLM Observability, GPU Monitoring, MCP Server, AI integrations, and Bits AI usage.

We believe there is upside to this guidance if AI becomes a larger and more durable growth contributor throughout this year, which could push AI-related revenue growth closer to lowdouble-digit percentage points of overall revenue growth contribution in 2026, which would be several points higher than our high-single-digit contribution assumption. This scenario would imply revenue growth of closer to 30% compared to guidance calling for 26% growth. AI adoption benefits are already showing up in Datadog's business, which we view as support for this upside case as more than 6,500 customers send data for AI integrations and represent about 80% of ARR, MCP server tools calls quadrupled, Bits Assistant messages increased 12 times, and the company landed seven- and eight-figure deals with AI research divisions at two of the world's largest technology companies.

We believe the downside case is if AI is more concentrated among customers, more volatile, or more price sensitive than currently expected. Datadog's largest AI-native customer could optimize usage or shift telemetry to a competing platform, or AI-native customer growth could slow and lead to AI's revenue growth contribution falling below our high-single-digit assumption for this year. This is a primary risk to watch, in our view, as we believe Datadog's premium valuation depends on AI being a durable incremental growth driver.

Conclusion and Valuation

As of the close on May 14, Datadog is trading at less than 13.5 times our 2027 revenue forecast of $5.19 billion, whereas the benchmark comparison group of observability platform players, high-growth cloud/data/infrastructure software vendors, and cybersecurity platforms trades at about 6.1 times in aggregate. Using an EV/revenue multiple of 3.0 times for observability platforms, 8.5 times for select high-growth infrastructure software players, and 10.5 times for select cybersecurity vendors with 50%, 30%, and 20% weighting, respectively. Datadog's peer group currently trades at an average sales multiple of about 6.0 times. We believe the current valuation reflects a premium against observability, developer platform, and software infrastructure peers, but below or near parity with premier cloud/security platforms such as Cloudflare, CrowdStrike, and Palo Alto Networks. We believe Datadog can sustain a premium valuation because it is growing faster than most direct peers while generating substantial free cash flow and expanding into AI, security, software delivery, and service management. Where we could be wrong is if the company's growth decelerates sharply or AI-related demand proves to be lumpy.

Our investment case to reach our estimates depends on Datadog sustaining 20% or better revenue growth while showing that its platform can benefit from AI complexity that leads to durable usage, multiproduct adoption, and strong free cash flow. We expect Datadog to have continued strength in expanding with existing customers, healthy new logo demand, and continued consolidation among enterprise customers. We believe there is potentially upside to our estimates if AI-related demand increases further across both AI-native and traditional customers through LLM observability, GPU monitoring, MCP server, and Bits AI.

We believe there are several growth drivers for the business in the near term, including:

- continued cloud migration and digital transformation;
- AI application and AI agent adoption driving more telemetry and operational complexity;
- multiproduct adoption across observability, logs, APM, digital experience, cloud security, software delivery, and service management;
- large customer wins and expansions;
- continued international expansion and new regional data center capacity; and
- product-led expansion in AI, security, service management, product analytics, data observability, and developer workflows.

Primary risks for Datadog's stock include: 1) competition from observability vendors, hyperscalers, open-source software, and security players; 2) usage-based revenue volatility; 3) AI workload volatility; 4) infrastructure cost pressures; 5) execution risk in expanding beyond core observability; and 6) AI-related disruption.

In conclusion, we believe the risk/reward profile for Datadog's stock is attractive. The stock's premium valuation, however, leaves less room for execution missteps, but we believe the company has a very strong combination of accelerating revenue growth, broad-based customer expansion, low churn, AI relevance, and strong margins that should support this premium. We believe cross-sell opportunities also remain significant for Datadog in helping it sustain strong net revenue retention rates and growth momentum. In our view, Datadog is differentiated by its unified platform that combines metrics, traces, logs, user sessions, security signals, AI-driven automation, and over 1,000 integrations to give customers a single system of visibility and action as cloud, security, and AI workloads become increasingly complex. As a result, we are assuming coverage of Datadog with an Outperform rating.

Datadog Platform Products and Technology

Solution Category	Solution/ Technology	Description
Observability Products	Infrastructure Monitoring	* Monitors IT infrastructure across cloud, hybrid, container, and serverless environments + Provides real-time metrics, dashboards, visualization, and alerting for engineer teams to maintain performance and availability + Correlates infrastructure data in one repository to better understand what is happening across the broader IT ecosystem
	Application Performance Monitoring (APM)	* Provides code-level tracing across applications, microservices, containers, serverless functions, back-end services, and databases + Helps understand application health, performance, latency, errors, and service dependencies + Correlates traces with logs, metrics, RUM data, security signals, and other telemetry to identify root cause issues faster
	Log Management	* Collects, indexes, searches, visualizes, and alerts on logs from applications, systems, and cloud platforms + Helps investigate performance issues, security events, application errors, and infrastructure activity + Includes cost-control capabilities such as Logging Without Limits and Flex Logs that decouple ingestion, processing, storage, and query needs
	Observability Pipelines	* Allows IT, DevOps, and security teams to collect, transform, filter, enrich, and route telemetry data + Supports logs, metrics, and traces from any source to destinations such as Datadog, SIEMs, data lakes, or storage platforms + Helps customers reduce noise, control telemetry costs, and keep important data available for threat detection, investigations, and compliance
	Continuous Profiler	* Provides visibility into code-level performance in production + Helps developers identify slow functions, inefficient code paths, memory leaks, and resource-intensive workloads + Enables teams to improve application latency, reduce cloud costs, and resolve performance issues faster
	Database Monitoring	* Gives teams visibility into query performance, execution plans, long-running queries, and blocking queries + Helps application developers, database administrators, and platform teams troubleshoot slow queries + Correlates database telemetry with application and infrastructure metrics to understand how resource constraints affect application performance
	Data Observability	* Brings observability capabilities to data pipelines + Includes Data Streams Monitoring and Data Jobs Monitoring, which help detect, remediate, and optimize problematic data workloads + Helps data teams monitor data quality, performance, cost, lineage, and impact across analytics and AI applications
	Network Monitoring	* Provides visibility into network traffic across on-premises, cloud, hybrid, application, container, and device environments + Helps teams determine if the network is the root cause of an application or if it is an infrastructure issue + Includes Cloud Network Monitoring and Network Device Monitoring for routers, firewalls, switches, load balancers, and other devices
	Cloud Cost Management	* Provides granular visibility into cloud costs across teams, resources, services, and workloads + Correlates cloud spend with metrics, traces, logs, and usage data so engineering and finance teams can better identify waste + Helps customers optimize infrastructure spend, allocate costs, and understand how engineering changes affect cloud costs
	GPU Monitoring	* Monitors GPU fleet health, capacity, utilization, cost, performance, thermal behavior, power behavior, and performance + Helps teams optimize AI training and inference workloads, more efficiently use capacity, and improve GPU ROI + Important for AI-native or large AI customers that need to troubleshoot stalled or failed AI workloads
AI Products	LLM Observability	* Provides end-to-end tracing for LLMs, AI agents, prompts, tool calls, and model decisions + Tracks inputs, outputs, latency, token usage, errors, bottlenecks, and failures across AI workflows + Correlates LLM traces with APM and other telemetry to improve reliability, reduce cost, debug AI applications, and scale production AI systems
	Bits AI Agents	* Datadog's family of AI agents and assistants that help users investigate, understand, and act on observability, security, and operational data + Includes capabilities such as natural language search, autonomous investigations, root-cause-analysis, and recommendations
	Bits AI Security Analyst	* AI agent for security that autonomously triages Cloud SIEM signals and investigates potential threats + Produces summaries, evidence, and actionable recommendations for SOC teams to help them focus on real alerts and threats + Significantly reduces threat investigation time by up to 98% in some cases
	MCP Server	* Connects AI coding agents and developer environments to live Datadog observability data + Allows developers to debug applications directly inside AI coding tools using real-time production telemetry + Enables safer AI-driven software development by giving agents access to governed observability context

Sources: Company website and filings, and William Blair Equity Research

Datadog Platform Products and Technology

Solution Category	Solution/ Technology	Description
Security Products	Cloud Security	* Uses agentless scanning and Datadog's security agent to identify vulnerabilities, misconfigurations, identity risks, and compliance issues across cloud infrastructure + Helps security and DevOps teams prioritize risk using observability context and severity scoring + Integrated in the Datadog platform
	Code Security	* Secures code across the software development lifecycle, including first-party code, third-party open-source code, and runtime code + Provides runtime-based vulnerability prioritization so teams focus on issues that are actually exploitable or highly impactful to the business + Supports remediation tracking across development, security, and operations teams
	Cloud SIEM	* Detects and investigates threats across cloud environments + Stores and analyzes operational and security logs in real-time by using integrations and detection rules to surface threats + Helps security teams visually investigate alerts, prioritize activity, and automate triage with agentic AI
	Threat Management	* Includes Workload Protection for infrastructure threats and App & API Protection for application and API threats + Workload Protection performs deep analysis of host and container activity to detect suspicious file, network, and process behavior + App & API Protection helps secure APIs and applications with unified visibility, posture management, and runtime protection
	Sensitive Data Scanner	* Discovers, classifies, hashes, and redacts sensitive data in real-time + Scans data such as logs, traces, RUM data, and events at or prior to ingestion + Helps customers support compliance with frameworks and regulations such as GDPR, HIPAA, and PCI-related requirements
Digital Experience	Synthetics	* Proactively monitors applications, APIs, endpoints, and more through simulated user requests and workflows + Helps teams detect user facing issues before real customers are affected + Supports uptime, performance, and reliability monitoring for important applications
	Real User Monitoring (RUM)	* Captures real user behavior and performance across browser and mobile applications + Helps teams detect, investigate, and troubleshoot front-end performance issues and other errors that impact users + Correlates user sessions with logs, traces, and application data to connect technical issues with customer experience
	Product Analytics	* Gives product managers, engineering leaders, and product owners quantitative insight into user behavior, product usage, and application performance + Helps teams improve product outcomes + Uses RUM/session data to connect user journeys, experience issues, and business outcomes
	Experiments	* Enables teams to run and analyze A/B tests and randomized product experiments directly in Datadog + Measures how new features affect user behavior, application performance, and business outcomes + Pairs experimentation with real-time observability guardrails for teams to ship features with more confidence
	Error Tracking	* Automatically groups similar front-end, back-end, web, mobile, and service errors into actionable issues + Provides debug context such as impacted users, logs, traces, RUM events, and more + Helps developers prioritize the errors that are most impactful and accelerates issue resolution
Service Management	Incident Response	* Unifies monitoring, on-call scheduling, and incident management into one workflow + Integrates real-time observability data into response plans to help teams make faster decisions during incidents + Helps reduce mean-time-to-respond to incidents by bringing responders, context, escalation, automation, and post-incident analysis into one place
	Workflow Automation & App Builder	* Workflow Automation automates and orchestrates processes across the technology stack using out-of-the-box actions and customizable blueprints + App Builder provides a low code way to create secure internal applications and interfaces within Datadog's platform + Helps teams move from detection to remediation by automating repetitive workflows across operations, security, and incident response
	Event Management	* Uses AI and machine learning to aggregate, correlate, deduplicate, and consolidate events and alerts into a consistent view + Reduces operational noise and enriches events with observability context + Helps centralized operations teams understand incidents, identify underlying causes, and resolve issues faster
	Bits AI SRE	* AI SRE (site reliability engineering) agent that investigates alerts and troubleshoots complex incidents + Gathers data and context across Datadog, generates hypotheses, identifies root causes, and helps teams restore services faster + Datadog positions it as a 24/7 AI on-call engineer that can reduce investigation and remediation time by leveraging and reasoning through Datadog's operational dataset
Software Delivery	CI Visibility	* Gives platform engineering and DevOps teams visibility into CI/CD pipeline health and performance + Helps detect slow or failing pipelines, builds, jobs, and tests across CI providers + Correlates pipeline activity with logs and test data to help identify bottlenecks and lower CI/CD costs

Sources: Company website and filings, and William Blair Equity Research

Investment Merits

AI Is Both a Workload Tailwind and a Product-Led Differentiator
We believe that Datadog's AI opportunity is not limited to selling AI products with the larger opportunity of AI increasing the complexity that the company's platform is built to manage. AI coding tools can increase the volume of code being developed, AI agents can create new production workflows, and LLM applications require monitoring for latency, failure rates, token usage, hallucination risk, evaluation quality, cost, and user experience, all of which we believe increases the value of Datadog's platform. Also, GPU fleets require monitoring for utilization, thermal behavior, power consumption, performance, and workload efficiency. Security teams also need to understand new attack surfaces around models, prompts, data leakage, agent tools, and identity.

We believe Datadog is showing early evidence of AI monetization with more than 6,500 of its customers sending data for one or more AI integrations, and these customers represented about 80% of total ARR in the company's most recent quarter. Usage of AI-related products also grew rapidly in the quarter as Bits AI SRE Agent investigations more than doubled, data sent to LLM Observability nearly tripled, MCP Server tool calls quadrupled, and Bits Assistant messages increased by a factor of 12.

In our view, Datadog has a strong AI product strategy because it is grounded in operational data where it has broad operational context, trillions of data points, deep domain expertise, and AI models embedded in its platform. We believe this is a meaningful differentiator because Datadog has proprietary context about production systems, incidents, logs, traces, metrics, alerts, and more that we believe AI models are likely to use. This context should also improve the quality of AI-assisted debugging, root-cause analysis, incident response, and remediation for customers.

Unified Observability Platform Built for the Complexity of Modern Software
We believe that modern software environments have become more complex over time as they are now more dynamic, distributed, and increasingly AI-enabled. Organizations now operate across cloud instances, containers, serverless functions, microservices, on-premises systems, data pipelines, LLM applications, GPU clusters, third-party APIs, and user facing digital experiences. Each new layer creates more telemetry, failure modes, and teams that need shared context. We believe legacy monitoring tools were designed for static on-premises architecture and are less effective in cloud or hybrid environments. Datadog's cloud-native platform is designed to help development and operations teams collaborate, quickly build and improve applications, and drive business performance. And as the platform has expanded, the company has added security teams, data engineers, product designers, and business users to the collaboration model.

We view this as a strong product foundation because the value of observability increases with additional context. For example, we believe a metric is more useful when correlated with logs, traces, user sessions, deployment events, security signals, cloud costs, or more. Datadog's platform is built with this in mind with its single agent, common data model; more than 1,000 integrations; and the ability to provide a unified view of infrastructure, application performance, and real-time events.

Differentiated Observability Platform
We believe Datadog's differentiation is most prevalent around its breadth, ease of use, scale, and time-to-value. The company now has more than 30 products across infrastructure monitoring, APM, log management, digital experience monitoring, security, software delivery, service management, product analytics, data observability, cloud cost management, LLM observability, GPU monitoring, and AI agents. Five of these products are already above $100 million in ARR, three more are between $50 million and $100 million, and the others remain earlier in their lifecycles. Ease of use is also important, in our view, and the company

demonstrates this with simple self-service installation, short time-to-value, out-of-the-box integrations, customizable dashboards, real-time visualization, and prioritized alerting. We believe this is important because many observability and security tools fail because they are difficult to deploy, maintain, or operationalize across teams. Datadog's model is designed to land quickly and then expand as teams discover additional use-cases.

We view scale as another differentiator as Datadog monitors trillions of events per hour and millions of servers and containers. We believe scale matters in observability because customers, especially large enterprises, increasingly need systems that can ingest, normalize, correlate, query, and retain very large volumes of telemetry. Also, the more complex that customer environments become, the more difficult it is for point solutions or open-source tools to match a scaled and integrated platform. Also, we believe that Datadog's quick time-to-value creates go-to-market leverage with its land and expand model that allows customers to begin with a specific use-case and expand into adjacent products. This is visible in the company's improving multiproduct adoption among customers, which we believe shows that Datadog's platform is able to consolidate customers.

Significant Growth Opportunity
Datadog's addressable market has expanded significantly beyond infrastructure monitoring since the company was founded. The company's TAM is broken down across observability ($39 billion), security ($100 billion-plus) and the broader markets the company participates in across software delivery, service management, and analytics (about $50 billion), which represents a $187 billion total market opportunity by 2029. This expansion gives the company several ways to grow, in our view, with the first being to continue penetrating core observability markets across infrastructure, APM, logs, network, digital experience, and database monitoring. Datadog can also cross-sell emerging categories into existing customers, including cloud security, cloud SIEM, workflow automation, product analytics, and more. The company also has the opportunity to monetize new AI-related products, including LLM Observability, GPU Monitoring, AI Agents Console, AI Guard, MCP Server, Bits AI SRE Agent, Bits AI Security Agent, and future AI workflows.

We view Datadog's market opportunity as particularly attractive because these categories are adjacent in workflow where observability data is valuable to operations teams, security teams, developers, product managers, and business leaders. Datadog's ability to use the same data platform across multiple categories reduces friction for customers and creates a path to capturing larger wallet share, in our view.

We believe Datadog has a significant growth runway ahead as the company is expanding beyond core observability into security, product analytics, data observability, AI-specific use-cases, and more. Datadog is executing on and benefiting from growth drivers such as cloud migration, digital transformation, AI application deployment, customer and product expansion, and entry into new markets, in our view.

Attractive Operating and Financial Model
Datadog's business model starts with landing the customer, expands with usage, and compounds through additional products. Customers often increase their usage of initial products and expand into others offered on the platform, which allows Datadog to grow with customers as they expand workloads in the cloud. The company has a strong net revenue retention rate in the low-120% range and gross retention in the mid- to high-90% range. This model gives Datadog several ways to grow without acquiring new logos as existing customers can increase telemetry volume, adopt more products, move additional workloads to the platform, replace legacy tools, expand across business units, and increase usage as their own applications scale. We believe this makes Datadog's growth more durable.

The company also has a very strong financial profile with revenue growth of 32%, pro forma operating margin of 22%, and free cash flow margin of 29% in its most recent quarter. We view the financial model as a key reason that Datadog deserves a premium multiple as the company offers both strong growth and margins. We believe this combination gives the company strategic flexibility to invest in R&D, go-to-market, international expansion, AI product development, acquisitions, and more without relying heavily on external capital.

Strong Management Team
Datadog remains founder-led with Olivier Pomel as co-founder and CEO and Alexis Lê-Quôc as co-founder and CTO. Prior to Datadog, Pomel served as vice president of technology at Wireless Generation, where he built data systems for K-12 teachers before the company was acquired by News Corp. Before that, he held software engineering roles at IBM Research and several internet startups. Pomel holds a degree in computer science from Ecole Centrale Paris. Lê-Quôc also brings a relevant technical and operating background, having served as director of operations at Wireless Generation prior to founding Datadog. Before that, he held software engineering roles at IBM Research, Neomeo, and Orange. Lê-Quôc also holds a degree in computer science from Ecole Centrale Paris.

CFO David Obstler joined the company in 2018. Prior to Datadog, he was CFO of TravelClick, and before that, he held CFO roles at OpenLink Financial, MSCI, RiskMetrics Group, and Pinnacor.

Investment Risks

Competition
We view competition from observability platforms, point solutions, hyperscalers, open-source software, and security vendors as the largest risk to Datadog's business. The company competes across multiple categories including infrastructure monitoring, APM, log management, cloud monitoring, security, and emerging AI observability use-cases, which we believe creates both opportunity and risk.

Observability
In core observability, we view Dynatrace as the most relevant individual public company competitor. Dynatrace has deep enterprise APM capabilities, strong automation, and a long history of serving large IT organizations. We believe Dynatrace is strongest as a competitor in enterprise accounts where application performance monitoring is the initial decision point. Elastic is another relevant competitor in observability, especially in search, log analytics, security analytics, and open-source adjacent deployments. We believe that Elastic appeals to technical teams that value flexibility and want to build custom search/log/security workflows. Cisco also has relevant observability assets in large enterprises with AppDynamics and Splunk. Splunk has deep penetration in log analytics and security operations, and AppDynamics has a legacy presence in APM, in our view.

Open-Source Software
Open-source software is a persistent risk with tools such as Prometheus, Grafana, OpenTelemetry, Loki, Tempo, Jaeger, and more that can be attractive to highly technical teams, cost sensitive customers, or companies that want more control over data pipelines. However, we believe that customers are still willing to pay for the scale, innovation, and management that Datadog offers with its platform as open-source stacks often become operationally complex at scale. Still, open-source tools can potentially pressure pricing and reduce Datadog's share of telemetry workloads with some customers.

Grafana and other open-source competitors are also increasingly important to pricing in the market as Grafana claims it can reduce telemetry costs by up to 80% with open standards, a free tier, consumption-based pricing, and telemetry cost optimization. For customers, especially those with strong SRE teams, open-source tools can create enough functionality at a lower cost to potentially pressure Datadog's pricing even if the full operational cost of managing those tools is higher than it appears. On the flip side, however, we believe open-source and point solutions often become unsustainable at scale due to sprawl, and that Datadog is benefiting from this as it called out multiple recent consolidation wins after customers' open-source monitoring stacks became too complex. Still, the risk is that Grafana, Chronosphere, hyperscaler-native monitoring tools, and open-source tools keep the market price sensitive, particularly for logs, metrics, and high-volume AI telemetry, which could limit Datadog's opportunity to fully monetize AI-driven growth, in our view.

Cybersecurity
Datadog's move into cybersecurity also increases the competitive landscape. In cloud security, SIEM, code security, data security, and AI security, we believe Datadog increasingly competes with vendors such as CrowdStrike, Palo Alto Networks, Zscaler, SentinelOne, and others. This expands Datadog's TAM, but the company is also entering markets with strong incumbents, dedicated buyers within the enterprise, a partner channel ecosystem, and deep security workflows.

In January 2026, Palo Alto Networks acquired Chronosphere for $3.35 billion for observability capabilities as it enters the AI era. Palo Alto described Chronosphere's telemetry pipeline as a way to reduce data volumes by 30% or more and require 20 times less infrastructure than legacy alternatives. We believe Chronosphere has had strength with very large cloud-native and AI-native customers, and Palo Alto acquiring the company allows it to use observability data as part of a broader AI security and autonomous remediation platform. The risk here, in our view, is that Palo Alto with Chronosphere could become a more credible alternative for Datadog's largest AI-native customer or other very large AI customers. Datadog's management applied extra conservatism to its largest customer with regard to 2026 revenue guidance in an effort to de-risk potential volatility stemming from the very large customer. We are not assuming that Datadog will lose this customer, and management also emphasized that new ARR additions were broad-based in its first quarter. However, we believe the risk is more material now because Palo Alto has acquired an observability player built for large-scale cloud-native telemetry, and based on our conversations, Palo Alto appears to be positioning Chronosphere aggressively on price, which can create risk for both retention and pricing at the high end of the market.

Hyperscalers
Hyperscaler-native monitoring tools are another competitive risk for Datadog, with tools like AWS CloudWatch and Azure Monitor embedded into the cloud platforms where customers run workloads. We believe these tools can be lower friction for single-cloud users, bundled into broader cloud commitments, and may be perceived as good enough for certain use-cases. However, Datadog's offerings are multicloud, hybrid, and enable cross-team visibility, though we recognize that hyperscalers remain powerful competitors because they control the cloud infrastructure layer.

Usage-Based Revenue Model and Customer Optimization Can Create Volatility
We believe that Datadog's usage-based model is a strength when customer workloads are growing, but it can create volatility when customers optimize their usage. Customers may reduce telemetry ingestion, tune log retention, renegotiate commitments, consolidate workloads, or optimize cloud spending, which could lead to revenue volatility. Even if churn remains low, slower expansion with the platform or more aggressive optimization could pressure net retention, revenue growth, and investor confidence. This usage-based model can provide Datadog upside in periods of workload growth but can also produce downside when customers focus on cost controls.

AI-Native Customer Concentration and AI Workload Lumpiness
We view AI-native customers as a major growth opportunity, but they can also be volatile. AI companies may scale quickly, change architectures, optimize infrastructure, adopt new model strategies, or consolidate vendors that might affect Datadog's quarterly growth trends. AI-native customer growth currently outpaces the rest of the business, and it includes 22 customers spending more than $1 million annually and 5 spending more than $10 million annually.

We view this as an important but manageable risk, and we believe management has de-risked this a bit by applying extra conservatism to its largest AI customer with its 2026 revenue guidance. Also, Datadog reported that its non-AI customer revenue growth accelerated to the mid-20% range last quarter, which is a positive sign to us that Datadog's growth is not dependent on AI-native customers. Still, however, if AI-native demand slows, workloads optimize, or a large AI customer reduces usage, we believe the stock could be negatively impacted as AI is now a major aspect of the bull case, in our view.

Gross Margin and Infrastructure Cost Pressure
Datadog's business depends on ingesting, processing, storing, and querying very large volumes of telemetry data that requires significant cloud infrastructure. This could pressure the company's gross margin as telemetry volumes increase, which occurred in the most recent quarter with a $42 million increase in third-party cloud infrastructure hosting and software costs that led gross margin to slightly compress by 10 basis points year-over-year. Datadog has ways to mitigate this impact, but gross margin could come under further pressure if infrastructure costs rise faster than revenue or if customers demand more cost-efficient retention and querying.

Execution Risk in Expanding Beyond Core Observability
Datadog's platform expansion is a core part of our investment thesis, but it also creates execution risk as the company moves into adjacent categories. Cloud security, code security, cloud SIEM, service management, workflow automation, product analytics, software delivery, data observability, GPU monitoring, and AI agents all represent areas of expansion for Datadog, but at the same time each category may have different buyers, competitors, implementation processes, and sales motions. We believe that Datadog must continue integrating these products into a single platform rather than it becoming a loose collection of modules. If the company expands too quickly, sales execution could become more complex, R&D priorities could be diluted, and customers might question if Datadog is best-of-breed in each category.

Macroeconomic Uncertainty Could Pressure IT Spending
We view observability and security as critical functions of a business, yet macroeconomic headwinds can still impact purchasing decisions. During recessions or periods of geopolitical uncertainty, enterprises often defer large infrastructure projects and extend refresh cycles. Datadog's revenue model includes usage and expansion, so macro pressure may show up through slower workload growth, smaller commitments, lower net retention, longer sales cycles, or greater customer optimization. Datadog also generates about 29% of its revenue from abroad, which could expose the company to foreign currency volatility risk, local economic cycles, and uneven recovery from global downturns. In some regions, rising interest rates or political instability could constrain IT spending, while compliance requirements might delay adoption until localized versions are available.

Company Overview

Based in New York City, New York, Datadog provides an AI-powered observability and security platform. The company was founded in 2010 by current CEO Olivier Pomel and current CTO Alexis Lê-Quôc to address the collaboration problem between development and operations teams as companies migrated from static on-premises systems to dynamic cloud environments. Today, Datadog's platform integrates infrastructure monitoring, APM, log management, user experience monitoring, and other capabilities to provide unified real-time observability and security across technology stacks for customers. The company's platform is used by organizations of all sizes and industries for benefits including digital transformation, improved collaboration, faster development times, reduced time to solve problems, more secure applications and infrastructure, better understanding of user behavior, and a way to track business metrics.

Datadog serves about 33,200 customers globally with a workforce of about 8,100 employees across 35 countries. The company's product portfolio now includes more than 30 products in an integrated platform with core categories of infrastructure monitoring, APM, log management, digital experience monitoring, security, software delivery, service management, product analytics, cloud cost management, LLM observability, GPU monitoring, and AI agents. See the exhibit on pages 6 and 7 for a detailed list of Datadog's products.

Valuation Comparisons

Datadog is an observability company that also offers cybersecurity, developer tools, and a cloud data platform, so it does not have a perfect public company comparison, in our view. We believe the company's revenue base is most comparable to application infrastructure and observability peers while its strong growth profile, platform expansion, and AI exposure resemble a broader high growth cloud software group. Also, Datadog's emerging security business creates some overlap with cybersecurity platform vendors.

Therefore, for valuation comparisons, we have chosen a combination of 1) observability and application infrastructure platforms (like Dynatrace and Elastic), 2) high-growth cloud/data/infrastructure platforms (such as Cloudflare), and 3) cybersecurity platform players (like CrowdStrike and Palo Alto Networks). To these three groups, we assigned a weighting of 50%, 30%, and 20%, respectively. We believe these comparisons for Datadog are appropriate as these groups span similar product suites, end-markets, and growth profiles that define most of the company's competitive landscape.

Datadog is trading at less than 13.5 times our 2027 revenue forecast of $5.19 billion, whereas the benchmark comparison group of observability platform players, high-growth cloud/data/infrastructure software vendors, and cybersecurity platforms trades at about 6.1 times in aggregate. Using an EV/revenue multiple of 3.0 times for observability platforms, 8.5 times for select high-growth infrastructure software players, and 10.5 times for select cybersecurity vendors with 50%, 30%, and 20% weighting, respectively, Datadog's peer group currently trades at an average sales multiple of about 6.0 times. We believe the current valuation reflects a premium against observability, developer platform, and software infrastructure peers, but below or near parity with premier cloud/security platforms such as Cloudflare, CrowdStrike, and Palo Alto Networks. We believe Datadog can sustain a premium valuation because it is growing faster than most direct peers while generating substantial free cash flow and expanding into AI, security, software delivery, and service management. Where we could be wrong is if the company's growth decelerates sharply or AI-related demand proves to be lumpy.

In conclusion, we believe the risk/reward profile for Datadog's stock is attractive. The stock's premium valuation, however, leaves less room for execution missteps, but we believe the company has a very strong combination of accelerating revenue growth, broad-based customer expansion, low churn, AI relevance, and strong margins that should support its premium valuation. We believe cross-sell opportunities also remain significant for Datadog in helping it sustain strong net revenue retention rates and growth momentum. In our view, Datadog is differentiated by its unified platform that combines metrics, traces, logs, user sessions, security signals, AI-driven automation, and over 1,000 integrations to give customers a single system of visibility and action as cloud, security, and AI workloads become increasingly complex. As a result, we are assuming coverage of Datadog with an Outperform rating.

On the next page, we show recent valuation data (as of the close on 5/14) for Datadog in comparison with what we view to be representative companies among comparable observability players, cloud/data/infrastructure platforms, and cybersecurity vendors.

Comparable-Company Valuation Table
(dollars in millions, except per share amounts)

				Observability			High Growth Infrastructure Platforms						Cybersecurity Platform Players			
	Datadog, Inc.			Dynatrace, Inc.	Elastic NV		Cloudflare, Inc.	GitLab, Inc.	JFrog Ltd.	MongoDB, Inc.	Snowflake, Inc.		CrowdStrike Holdings, Inc.	Palo Alto Networks, Inc.	Zscaler, Inc.	SentinelOne, Inc.
Ticker Symbol	**DDOG**			**DT**	**ESTC**		**NET**	**GTLB**	**FROG**	**MDB**	**SNOW**		**CRWD**	**PANW**	**ZS**	**S**
Market Data																
Stock Price	$202.84			$37.12	$49.78		$199.81	$22.60	$65.08	$303.09	$150.76		$579.95	$238.21	$153.70	$16.51
52-Week High	$205.44			$57.55	$96.07		$260.00	$53.82	$72.06	$444.72	$280.67		$583.78	$239.15	$336.99	$21.40
52-Week Low	$98.01			$31.64	$42.05		$150.59	$18.73	$34.05	$182.43	$118.30		$342.72	$139.57	$114.63	$11.81
Shares Outstanding	328.5			298.3	103.5		317.6	152.5	121.1	80.4	345.7		254.6	816.0	160.8	334.0
Capitalization																
Equity Value	$66,629.6			$11,071.1	$5,152.3		$63,454.9	$3,446.0	$7,882.5	$24,359.2	$52,117.7		$147,644.0	$194,379.4	$24,713.5	$5,513.9
Plus: Debt	1,285.1			85.8	591.7		3,524.5	0.0	16.4	62.8	2,741.1		820.1	372.0	1,864.4	15.0
Less: Cash & Equivalents	4,758.6			1,188.3	1,251.7		4,174.8	1,259.9	742.0	2,387.2	4,029.7		5,230.1	4,540.0	3,512.8	651.3
Enterprise Value	63,156.0			9,968.6	4,492.2		62,804.6	2,186.1	7,157.0	22,034.8	50,829.2		143,233.9	190,211.4	23,065.2	4,877.7
Operating Data - Calendar Year																
Revenue - 2025	$3,427.2			$1,939.6	$1,652.4		$2,167.9	$938.4	$531.8	$2,424.5	$4,593.3		$4,812.0	$9,893.3	$3,001.1	$1,001.3
Revenue - 2026E	$4,331.1			$2,249.0	$1,892.6		$2,809.5	$1,097.0	$632.7	$2,866.3	$5,811.0		$5,906.9	$12,677.2	$3,627.9	$1,201.3
Revenue - 2027E	$5,222.3			$2,575.4	$2,144.7		$3,579.8	$1,268.4	$742.7	$3,363.9	$7,206.3		$7,184.6	$14,414.9	$4,320.2	$1,411.5
EBITDA - 2025	$823.5			$590.3	$282.0		$489.5	$162.7	$94.9	$462.1	$662.8		$1,292.2	$3,225.5	$781.6	$89.7
EBITDA - 2026E	$1,061.9			$686.1	$328.9		$661.2	$141.7	$127.4	$584.1	$894.4		$1,736.7	$3,851.1	$983.1	$153.2
EBITDA - 2027E	$1,324.5			$764.7	$399.4		$923.8	$178.2	$156.5	$729.0	$1,249.9		$2,282.6	$4,587.5	$1,235.6	$220.4
EPS - 2025	$2.05			$1.62	$2.37		$0.93	$0.94	$0.82	$4.86	$1.21		$3.74	$3.71	$3.70	$0.20
EPS - 2026E	$2.41			$1.88	$2.74		$1.20	$0.82	$0.95	$5.84	$1.74		$4.86	$3.60	$4.22	$0.33
EPS - 2027E	$2.82			$2.17	$3.16		$1.53	$0.97	$1.12	$6.98	$2.36		$6.11	$4.27	$5.01	$0.47
FCF - 2025	$923.3			$505.1	$295.9		$262.1	$211.2	$139.7	$461.8	$1,111.3		$1,236.89	$3,643.44	$873.81	$51.89
FCF - 2026E	$1,136.3			$597.2	$356.1		$373.0	$211.3	$151.3	$519.3	$1,341.5		$1,801.62	$4,644.28	$963.96	$119.30
FCF - 2027E	$1,397.6			$695.8	$434.1		$526.3	$258.9	$191.8	$636.0	$1,737.1		$2,618.81	$5,192.12	$1,302.70	$203.61
Growth Rates		**Weighted Benchmark**	**Group Mean**			**Comp Group Mean**						**Comp Group Mean**				
% Revenue - 2026E	26%	**19%**	**15%**	16%	15%	**22%**	30%	17%	19%	18%	27%	**23%**	23%	28%	21%	20%
% Revenue - 2027E	21%	**17%**	**14%**	15%	13%	**20%**	27%	16%	17%	17%	24%	**18%**	22%	14%	19%	17%
% EBITDA - 2026E	29%	**23%**	**16%**	16%	17%	**24%**	35%	-13%	34%	26%	35%	**38%**	34%	19%	26%	71%
% EBITDA - 2027E	25%	**23%**	**16%**	11%	21%	**31%**	40%	26%	23%	25%	40%	**30%**	31%	19%	26%	44%
% EPS - 2026E	18%	**19%**	**16%**	16%	16%	**19%**	29%	-13%	16%	20%	44%	**27%**	30%	-3%	14%	66%
% EPS - 2027E	17%	**20%**	**15%**	15%	15%	**24%**	28%	18%	18%	20%	36%	**26%**	26%	18%	19%	42%
% FCF - 2026E	23%	**25%**	**19%**	18%	20%	**17%**	42%	0%	8%	12%	21%	**53%**	46%	27%	10%	130%
% FCF - 2027E	23%	**26%**	**19%**	17%	22%	**28%**	41%	23%	27%	22%	29%	**41%**	45%	12%	35%	71%
EPS Long-Term Growth Rate	6%	**12%**	**11%**	11%	10%	**10%**	11%	4%	21%	6%	8%	**17%**	37%	17%	11%	5%
Valuation - Consensus		**Weighted Benchmark**	**Group Mean**			**Comp Group Mean**						**Comp Group Mean**				
EV/Revenue - 2026	14.6x	**7.3x**	**3.4x**	4.4x	2.4x	**10.4x**	22.4x	2.0x	11.3x	7.7x	8.7x	**12.4x**	24.2x	15.0x	6.4x	4.1x
EV/Revenue - 2027	12.1x	**6.1x**	**3.0x**	3.9x	2.1x	**8.5x**	17.5x	1.7x	9.6x	6.6x	7.1x	**10.5x**	19.9x	13.2x	5.3x	3.5x
EV/EBITDA - 2026	59.5x	**32.1x**	**14.1x**	14.5x	13.7x	**52.2x**	95.0x	15.4x	56.2x	37.7x	56.8x	**46.8x**	82.5x	49.4x	23.5x	31.8x
EV/EBITDA - 2027	47.7x	**25.1x**	**12.1x**	13.0x	11.2x	**39.4x**	68.0x	12.3x	45.7x	30.2x	40.7x	**36.3x**	62.8x	41.5x	18.7x	22.1x
P/E - 2026	84.1x	**47.1x**	**18.9x**	19.7x	18.2x	**80.3x**	167.1x	27.7x	68.2x	51.9x	86.4x	**67.9x**	119.4x	66.1x	36.4x	49.7x
P/E - 2027	71.8x	**38.2x**	**16.4x**	17.1x	15.7x	**63.9x**	130.9x	23.4x	58.0x	43.4x	63.8x	**54.1x**	94.9x	55.8x	30.7x	35.0x
P/FCF - 2026	58.6x	**37.5x**	**16.5x**	18.5x	14.5x	**64.9x**	170.1x	16.3x	52.1x	46.9x	38.9x	**48.9x**	82.0x	41.9x	25.6x	46.2x
P/FCF - 2027	47.7x	**28.5x**	**13.9x**	15.9x	11.9x	**48.7x**	120.6x	13.3x	41.1x	38.3x	30.0x	**35.0x**	56.4x	37.4x	19.0x	27.1x
P/E to Growth - 2026	14.2x	**4.6x**	**1.8x**	1.7x	1.8x	**9.0x**	15.0x	7.7x	3.2x	8.6x	10.6x	**5.1x**	3.2x	4.0x	3.4x	9.9x
P/E to Growth - 2027	12.1x	**3.7x**	**1.5x**	1.5x	1.6x	**7.2x**	11.7x	6.5x	2.7x	7.2x	7.8x	**3.9x**	2.5x	3.3x	2.9x	7.0x

Note: Weighted Benchmark applies a contribution rate of 50% Observability, 30% High Growth Infrastructure Platforms, 20% Cybersecurity Platform Players
Sources: FactSet and William Blair Equity Research

William Blair

Datadog, Inc. (DDOG)
Earnings Model
Last Updated on May 15, 2026

EV/Revenue (FY2)	13.4	FCF Yield (FCF/Equity, TTM)	1.3%
P/FCF (FY2)	53.3	P/E (FY2)	71.6

Stock Rating: Outperform
May 15, 2026: $202.84

Fiscal Year Ends December ($ in thousands, except per-share items)	FY2023	1Q24 Mar-24	2Q24 Jun-24	3Q24 Sep-24	4Q24 Dec-24	FY2024	1Q25 Mar-25	2Q25 Jun-25	3Q25 Sep-25	4Q25 Dec-25	FY2025	1Q26 Mar-26	2Q26E Jun-26	3Q26E Sep-26	4Q26E Dec-26	FY2026E	FY2027E
Revenue (GAAP)	**2,128,359**	**611,253**	**645,279**	**690,016**	**737,727**	**2,684,275**	**761,553**	**826,760**	**885,651**	**953,194**	**3,427,158**	**1,006,426**	**1,074,788**	**1,101,750**	**1,137,160**	**4,320,124**	**5,186,692**
Cost of Revenue, pro forma	383,925	102,352	115,757	130,159	134,954	483,222	149,897	157,512	166,799	176,897	651,105	199,200	210,582	204,841	207,048	821,670	973,127
Gross profit, non-GAAP	**1,744,434**	**508,901**	**529,522**	**559,857**	**602,773**	**2,201,053**	**611,656**	**669,248**	**718,852**	**776,297**	**2,776,053**	**807,226**	**864,206**	**896,909**	**930,113**	**3,498,454**	**4,213,565**
Operating Expenses																	
Research and development, pro forma	627,902	170,756	180,905	194,979	211,628	758,268	225,744	263,218	269,517	280,263	1,038,742	300,351	332,182	338,965	344,890	1,316,389	1,578,463
Sales and marketing, pro forma	500,597	142,992	156,991	155,755	173,269	629,007	178,393	200,037	195,509	219,144	793,083	235,272	252,091	257,138	267,929	1,012,430	1,212,912
General and administrative, pro forma	125,692	30,671	34,084	36,102	38,708	139,565	41,014	41,885	46,462	46,822	176,183	48,106	49,950	54,500	57,000	209,556	238,000
Operating income/(loss), pro forma	**490,243**	**164,482**	**157,542**	**173,021**	**179,168**	**674,213**	**166,505**	**164,108**	**207,364**	**230,068**	**768,045**	**223,497**	**229,983**	**246,306**	**260,293**	**960,079**	**1,184,190**
Financial/other income/(expense)	93,699	34,189	35,175	35,858	44,434	149,656	44,216	41,588	41,476	44,114	171,394	51,603	38,682	38,305	41,334	169,924	176,001
Interest income	100,001	35,563	36,652	37,432	47,077	156,724	47,179	44,663	43,897	46,714	182,453	54,722	56,509	58,882	61,911	232,023	288,307
(Interest expense)	(6,302)	(1,374)	(1,477)	(1,574)	(2,643)	(7,068)	(2,963)	(3,075)	(2,421)	(2,600)	(11,059)	(3,119)	(3,077)	(3,077)	(3,077)	(12,349)	(12,306)
Gains/(losses), assets	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other income/(expense), net	0	0	0	0	0	0	0	0	0	0	0	0	(14,750)	(17,500)	(17,500)	(49,750)	(100,000)
Adjustments to financial/other income/(expense)	3,388	850	910	912	1,089	3,761	1,819	1,691	1,046	1,046	5,602	1,047	0	0	0	1,047	0
Income/(loss) before taxes, pro forma	**587,330**	**199,521**	**193,627**	**209,791**	**224,691**	**827,630**	**212,540**	**207,387**	**249,886**	**275,228**	**945,041**	**276,147**	**268,665**	**284,611**	**301,627**	**1,131,051**	**1,360,191**
Income tax provision/(benefit), pro forma	105,631	41,899	40,662	44,056	47,185	173,802	44,633	43,551	52,476	57,798	198,458	57,991	56,420	59,768	63,342	237,521	285,640
Effective tax rate, pro forma	18.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Net income/(loss), pro forma	**481,699**	**157,622**	**152,965**	**165,735**	**177,506**	**653,828**	**167,907**	**163,836**	**197,410**	**217,430**	**746,583**	**218,156**	**212,246**	**224,843**	**238,286**	**893,530**	**1,074,551**
EPS (GAAP)	**$0.14**	**$0.12**	**$0.12**	**$0.14**	**$0.13**	**$0.51**	**$0.07**	**$0.01**	**$0.09**	**$0.13**	**$0.30**	**$0.14**	**$0.10**	**$0.12**	**$0.13**	**$0.49**	**$0.68**
EPS, pro forma	**$1.38**	**$0.44**	**$0.43**	**$0.46**	**$0.49**	**$1.83**	**$0.46**	**$0.46**	**$0.55**	**$0.59**	**$2.06**	**$0.60**	**$0.58**	**$0.60**	**$0.63**	**$2.40**	**$2.82**
Diluted share count (GAAP)	336,429	355,979	356,740	357,635	360,940	357,824	363,078	358,725	362,001	365,516	362,330	364,731	366,555	368,387	370,229	367,476	374,880
Diluted share count, pro forma	349,675	355,979	356,740	357,635	360,940	357,824	363,078	358,725	362,001	365,516	362,330	364,731	369,108	374,275	379,515	371,907	381,417
Adjusted EBITDA	**525,842**	**175,145**	**168,496**	**185,475**	**193,563**	**722,679**	**176,663**	**175,224**	**220,684**	**244,857**	**817,428**	**239,780**	**249,363**	**267,942**	**284,141**	**1,041,226**	**1,309,469**
Margin Analysis																	
Gross Margin, pro forma	82.0%	83.3%	82.1%	81.1%	81.7%	82.0%	80.3%	80.9%	81.2%	81.4%	81.0%	80.2%	80.4%	81.4%	81.8%	81.0%	81.2%
Operating margin, pro forma	23.0%	26.9%	24.4%	25.1%	24.3%	25.1%	21.9%	19.8%	23.4%	24.1%	22.4%	22.2%	21.4%	22.4%	22.9%	22.2%	22.8%
R&D as % of rev, pro forma	29.5%	27.9%	28.0%	28.3%	28.7%	28.2%	29.6%	31.8%	30.4%	29.4%	30.3%	29.8%	30.9%	30.8%	30.3%	30.5%	30.4%
S&M as % of rev, pro forma	23.5%	23.4%	24.3%	22.6%	23.5%	23.4%	23.4%	24.2%	22.1%	23.0%	23.1%	23.4%	23.5%	23.3%	23.6%	23.4%	23.4%
G&A as % of rev, pro forma	5.9%	5.0%	5.3%	5.2%	5.2%	5.2%	5.4%	5.1%	5.2%	4.9%	5.1%	4.8%	4.6%	4.9%	5.0%	4.9%	4.6%
Net margin, pro forma	22.6%	25.8%	23.7%	24.0%	24.1%	24.4%	22.0%	19.8%	22.3%	22.8%	21.8%	21.7%	19.7%	20.4%	21.0%	20.7%	20.7%
Adjusted EBITDA Margin	24.7%	28.7%	26.1%	26.9%	26.2%	26.9%	23.2%	21.2%	24.9%	25.7%	23.9%	23.8%	23.2%	24.3%	25.0%	24.1%	25.2%
Growth Analysis																	
Revenue - YOY growth	27.1%	26.9%	26.7%	26.0%	25.1%	26.1%	24.6%	28.1%	28.4%	29.2%	27.7%	32.2%	30.0%	24.4%	19.3%	26.1%	20.1%
Op. Inc., non-GAAP - YOY growth	50.3%	90.4%	48.0%	32.3%	7.5%	37.5%	1.2%	4.2%	19.8%	28.4%	13.9%	34.2%	40.1%	18.8%	13.1%	25.0%	23.3%
EPS, non-GAAP - YOY growth	40.6%	56.1%	47.3%	28.7%	11.5%	32.6%	4.4%	6.5%	17.7%	21.0%	12.8%	29.3%	25.9%	10.2%	5.5%	16.6%	17.3%
Adjusted EBITDA - YOY growth	48.8%	85.5%	46.8%	32.3%	9.7%	37.4%	0.9%	4.0%	19.0%	26.5%	13.1%	35.7%	42.3%	21.4%	16.0%	27.4%	25.8%
Revenue Metrics Analysis																	
Customers	27,300	28,000	28,700	29,200	30,000	30,000	30,500	31,400	32,000	32,700	32,700	33,200					
% seq growth	N/A	2.6%	2.5%	1.7%	2.7%	N/A	1.7%	3.0%	1.9%	2.2%	N/A	1.5%					
% YOY growth	17.7%	9.8%	10.0%	9.0%	9.9%	9.9%	8.9%	9.4%	9.6%	9.0%	9.0%	8.9%					
Net New Customers	4,100	700	700	500	800	2,700	500	900	600	700	2,700	500					
% seq growth	N/A	40.0%	0.0%	-28.6%	60.0%	N/A	-37.5%	80.0%	-33.3%	16.7%	N/A	-28.6%					
% YOY growth	-6.8%	-69.6%	16.7%	-28.6%	60.0%	-34.1%	-28.6%	28.6%	20.0%	-12.5%	0.0%	0.0%					
RPO	1,840,000	1,730,000	1,790,000	1,820,000	2,270,000	2,270,000	2,310,000	2,430,000	2,790,000	3,460,000	3,460,000	3,480,000					
% Seq Change	N/A	-6.0%	3.5%	1.7%	24.7%	N/A	1.8%	5.2%	14.8%	24.0%	N/A	0.6%					
% YoY Change	73.6%	51.8%	43.2%	25.5%	23.4%	23.4%	33.5%	35.8%	53.3%	52.4%	52.4%	50.6%					
Sales Activity Metrics																	
Proxy for Sales Activity ("calc'd billings")*	2,359,336	617,973	667,225	688,633	908,045	2,881,876	747,702	852,373	892,635	1,212,259	3,704,969	1,026,139	1,101,711	1,116,149	1,424,337	4,668,336	5,582,826
% YOY Change in Sales Activity	27.9%	21.0%	28.4%	13.5%	25.7%	22.1%	21.0%	27.7%	29.6%	33.5%	28.6%	37.2%	29.3%	25.0%	17.5%	26.0%	19.6%
Book-to-Bill (proxy)*	1.11	1.01	1.03	1.00	1.23	1.07	0.98	1.03	1.01	1.27	1.08	1.02	1.03	1.01	1.25	1.08	1.08
Proxy for Current Sales Activity ("calc'd billings")*	2,351,070	612,992	679,367	684,278	903,756	2,880,393	748,835	844,067	893,473	1,172,576	3,658,951	1,043,932	1,100,270	1,116,896	1,388,284	4,649,382	5,561,264
% YOY Change in Current Sales Activity	27.4%	22.3%	32.0%	11.0%	25.7%	22.5%	22.2%	24.2%	30.6%	29.7%	27.0%	39.4%	30.4%	25.0%	18.4%	27.1%	19.6%
Current Book-to-Bill (proxy)*	1.10	1.00	1.05	0.99	1.23	1.07	0.98	1.02	1.01	1.23	1.07	1.04	1.02	1.01	1.22	1.08	1.07
Cash Flow Metrics																	
Adj'd Free Cash Flow	597,548	186,747	143,780	203,604	240,972	775,103	244,391	165,353	213,952	291,021	914,717	289,091	215,403	256,657	368,898	1,130,049	1,390,137
YOY growth - Adj'd FCF	69.0%	60.5%	48.2%	47.3%	-2.1%	29.7%	30.9%	15.0%	5.1%	20.8%	18.0%	18.3%	30.3%	20.0%	26.8%	23.5%	23.0%
Adj'd FCF Margin	28.1%	30.6%	22.3%	29.5%	32.7%	28.9%	32.1%	20.0%	24.2%	30.5%	26.7%	28.7%	20.0%	23.3%	32.4%	26.2%	26.8%
Net cash/share	$7.07	$7.61	$8.10	$8.76	$11.46	$11.46	$12.18	$10.70	$11.33	$12.25	$12.25	$13.02	$13.57	$14.27	$15.33	$15.33	$19.10

* Proxy for Sales Activity = Revenue + Sequential Change in Deferred Revenue
* Proxy for Book-to-Bill = Sales Activity / Revenue
* Proxy for Current Sales Activity = Revenue + Sequential Change in ST Deferred Revenue
* Proxy for Current Book-to-Bill = Current Sales Activity / Revenue

The prices (as of 5/14) of the common stock of other public companies mentioned in this note follow:

Alphabet, Inc. (Outperform)	$397.17
Cisco Systems, Inc. (Market Perform)	$115.53
Cloudflare, Inc. (Outperform)	$199.81
CrowdStrike Holdings, Inc. (Outperform)	$579.95
Dynatrace, Inc. (Outperform)	$37.12
Elastic NV (Outperform)	$49.78
GitLab, Inc. (Underperform)	$22.60
International Business Machines Corp.	$218.37
JFrog Ltd. (Outperform)	$65.08
Microsoft Corp. (Outperform)	$409.43
MongoDB, Inc. (Outperform)	$303.09
News Corp.	$30.08
Palo Alto Networks, Inc. (Outperform)	$238.21
SentinelOne, Inc. (Outperform)	$16.51
Snowflake, Inc. (Outperform)	$150.76
Zscaler, Inc.	$153.70

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DOW JONES: 50063.50
S&P 500: 7501.24
NASDAQ: 26635.20

Datadog, Inc. Rating History as of 05/14/2026
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OP:Outperform Mkt:Market Perform UP:Under Perform NR:Not Rated I:Initiation of Coverage D:Dropped Coverage

Source: FactSet & William Blair

Additional information is available upon request.

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Outperform (Buy)	74	Outperform (Buy)	14
Market Perform (Hold)	25	Market Perform (Hold)	2
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